

STRATUM CAPITAL BANK

Enterprise Governance & Risk Framework

Chapter 1 — Bank Overview

Version 1.0 | INTERNAL — RESTRICTED

**INTERNAL DOCUMENT — NOT FOR CUSTOMER
DISTRIBUTION**

This document is classified as Restricted — Internal Use Only.

Document Information

Field	Detail
Document Title	Enterprise Governance & Risk Framework — Chapter 1
Institution	Stratum Capital Bank
Version	1.0
Status	Approved — Effective Immediately
Classification	Restricted — Internal Use Only
Audience	All Permanent Staff, Senior Management, Board of Directors
Owner	Office of the Chief Risk Officer
Review Cycle	Annual or upon material regulatory change

Chapter 1 — Bank Overview

1.1 Executive Overview

Stratum Capital Bank is a full-service commercial banking institution operating at the intersection of traditional banking disciplines and modern analytical intelligence. The Bank serves a diversified client base encompassing individual retail customers, small and medium enterprises, and corporate entities. Its lending portfolio spans personal loans, home financing, vehicle financing, SME credit facilities, and structured business loans.

This Chapter establishes the foundational governance context for the entire Enterprise Governance & Risk Framework (EGRF). It defines the Bank's institutional identity, organisational architecture, lending philosophy, and the principles governing the deployment of Artificial Intelligence as a decision support capability. All subsequent policy chapters, procedures, and operational standards within this Framework derive authority and context from the principles established herein.

Stratum Capital Bank operates under a governance model that unambiguously places human judgement at the centre of every material credit and risk decision. Artificial Intelligence and Machine Learning tools are deployed exclusively as advisory instruments. No automated system holds authority to approve, reject, or commit the Bank in any credit transaction without the express exercise of judgment by an authorised human officer.

Policy Note: *This document is issued by the Office of the Chief Risk Officer. All staff are required to familiarise themselves with Chapter 1 prior to accessing any subsequent operational policy module. Acknowledgement of receipt is mandatory and recorded in the Human Capital Management system.*

1.2 History of Stratum Capital Bank

Stratum Capital Bank was established with the purpose of offering commercially responsible banking services anchored in the principles of transparency, client trust, and prudent risk management. The Bank began operations as a specialised commercial lender serving small and medium enterprises, recognising that this market segment was systematically underserved by incumbent financial institutions that applied blunt, undifferentiated credit criteria.

Over successive years, the Bank expanded its product suite to encompass retail personal lending, home finance, and vehicle finance, progressively developing an organisational infrastructure capable of underwriting complex credit across multiple borrower categories. Each phase of expansion was accompanied by a corresponding investment in risk management capability, governance infrastructure, and staff development.

In its most recent strategic phase, Stratum Capital Bank undertook a structured programme of digital transformation centred on the responsible adoption of Artificial Intelligence and Machine Learning. Recognising both the analytical potential and the governance risks inherent in algorithm-driven decision support, the Bank established a dedicated AI Governance and Analytics function and commissioned the development of a proprietary Probability of Default model designed to assist—not replace—credit officers in their underwriting determinations.

The Enterprise Governance & Risk Framework, of which this Chapter is the opening section, represents the formal policy codification of the Bank's accumulated institutional knowledge, governance principles, and operational standards across all material risk domains.

1.3 Vision

To be a trusted, analytically sophisticated, and ethically governed commercial bank that consistently delivers responsible credit access and long-term financial value to clients, shareholders, and the communities it serves — powered by the highest standards of human judgement and responsible artificial intelligence.

1.4 Mission

The mission of Stratum Capital Bank is to provide accessible, responsibly underwritten credit products and banking services to a diverse client base, deploying rigorous risk management discipline, transparent decision-making processes, and analytical tools that enhance — without substituting — the informed judgment of qualified banking professionals.

1.5 Core Values

The following core values govern every aspect of Stratum Capital Bank's institutional conduct, from board governance to front-line client interaction:

- **Integrity** — The Bank conducts all activities in accordance with the highest standards of professional ethics, legal compliance, and honest dealing with clients, regulators, and counterparties.
- **Transparency** — All lending decisions, model outputs, and risk assessments are capable of being explained in plain terms to clients, supervisory bodies, and internal oversight functions.
- **Responsibility** — The Bank acknowledges its institutional role in shaping client financial outcomes and applies disciplined, proportionate credit standards to prevent over-indebtedness.
- **Excellence** — Staff are expected to maintain current knowledge of credit disciplines, regulatory requirements, and emerging analytical techniques relevant to their function.
- **Human Centricity** — Technology serves people. Every AI-assisted process retains human oversight, and no client outcome is determined solely by an automated recommendation.
- **Prudence** — The Bank maintains conservative capital buffers, realistic risk provisioning, and disciplined portfolio diversification in all market conditions.
- **Fairness** — Credit assessments are conducted on the basis of financial and risk-relevant criteria. Discriminatory or arbitrary application of credit criteria is prohibited in all its forms.
- **Stewardship** — The Bank exercises long-term stewardship over client relationships, community trust, and the institutional capital entrusted to it by shareholders and depositors.

1.6 Organisational Structure

Stratum Capital Bank operates a functionally integrated organisational structure organised into three principal governance tiers: (i) Board and Executive governance, (ii) Senior management and functional leadership, and (iii) operational business units and support functions.

1.6.1 Board of Directors

The Board of Directors holds ultimate fiduciary authority over the Bank's strategic direction, risk appetite, capital adequacy, and governance standards. The Board operates through standing committees including the Board Risk Committee, the Board Audit Committee, and the Board Credit Committee. Board composition requirements mandate an appropriate proportion of independent non-executive directors with relevant financial sector expertise.

1.6.2 Executive Committee

The Executive Committee, chaired by the Chief Executive Officer, exercises operational authority over all business and support functions. Key executive roles include the Chief Risk Officer, Chief Credit Officer, Chief Financial Officer, Chief Technology Officer, and Chief Compliance Officer. Executive Committee decisions on material credit policy, model deployment, and risk appetite are subject to Board ratification where specified in the Delegation of Authority Framework.

1.6.3 Business and Support Functions

Operational business units are organised by client segment and product line. Support functions provide enterprise-wide services in risk management, compliance, technology, human capital management, and internal audit. Each function operates under a formally documented mandate, budget authority, and performance framework reviewed annually.

1.7 Banking Philosophy

Stratum Capital Bank subscribes to a philosophy of relationship-based, analytically informed banking. The Bank rejects the application of fully automated or black-box credit decisioning in favour of a model in which technology-derived insights are presented to, evaluated by, and ultimately ratified or overridden by qualified human professionals.

The Bank believes that sustainable lending growth is achievable only through disciplined credit underwriting that accounts for macroeconomic context, borrower-specific circumstances, and portfolio-level risk concentration. Single-variable approval criteria, excessive reliance on collateral adequacy, and mechanical application of credit score thresholds are explicitly discouraged as primary decision bases.

Every credit relationship is understood as a long-term institutional commitment. The Bank's commercial success is therefore contingent not on maximising origination volume but on the quality, performance, and reputational integrity of its loan portfolio over time.

Policy Note: *Loan Officers and Credit Analysts are expected to approach each application as a unique case warranting individual professional assessment, irrespective of any AI-generated risk tier or recommendation presented by the Decision Support System.*

1.8 Responsible Lending Philosophy

Stratum Capital Bank operates under a formal Responsible Lending Policy that is embedded throughout its underwriting procedures. The core premise of responsible lending is that credit approval must serve the genuine long-term financial interest of the client, not merely the short-term commercial interest of the Bank.

The Bank's responsible lending principles include:

- **Affordability Assessment** — No credit facility is approved without a documented assessment of the borrower's capacity to service debt from verified income sources, accounting for existing financial obligations and foreseeable income variability.
- **Suitability** — Credit products are matched to the purpose, duration, and risk profile appropriate to the borrower's financial situation. Unsuitable product placement is treated as a compliance failure subject to disciplinary review.
- **Transparency of Terms** — All material terms, costs, fees, and conditions of credit facilities are disclosed to borrowers in writing prior to commitment. Ambiguous or misleading product disclosure is prohibited.
- **Avoidance of Over-Indebtedness** — Credit Officers are required to consider total borrower indebtedness across all facilities, including third-party obligations where disclosed or discoverable.
- **Vulnerable Customer Protections** — Enhanced assessment procedures are applied where a borrower may be in financial distress, subject to economic volatility, or presenting indicators of financial vulnerability.

Policy Note: Approval of a credit facility that subsequently causes demonstrable client financial harm as a result of inadequate affordability assessment constitutes a serious breach of policy, irrespective of whether the AI Decision Support System assigned a Low or Medium risk classification to the application at the time of submission.

1.9 AI Governance Philosophy

Stratum Capital Bank's deployment of Artificial Intelligence is governed by a set of principles designed to ensure that AI enhances institutional capability without compromising ethical standards, regulatory compliance, or the integrity of human decision-making authority.

1.9.1 AI as Decision Support

All AI and Machine Learning models deployed within the Bank function exclusively as Decision Support Systems. Model outputs — including Probability of Default estimates, risk tier classifications, policy retrieval results, and prediction explanations — are presented to authorised staff as informational inputs. They do not constitute binding instructions, automatic approvals, or automatic rejections.

1.9.2 Explainability Requirement

Every AI prediction presented to a Credit Officer must be accompanied by a plain-language explanation identifying the primary factors that contributed to the prediction. This is achieved through Explainable AI (XAI) techniques integrated into the Bank's Decision Support architecture. Credit Officers are trained to evaluate, interrogate, and if appropriate, override AI explanations based on their professional assessment.

1.9.3 Model Lifecycle Governance

AI models are subject to formal governance across their full lifecycle: development, validation, deployment, performance monitoring, recalibration, and retirement. The AI Governance and Analytics Department is responsible for maintaining a Model Inventory Register, conducting periodic model performance reviews, and reporting model risk indicators to the Chief Risk Officer on a quarterly basis.

1.9.4 Ethical AI Principles

The Bank explicitly prohibits the use of AI models that encode protected characteristics — including gender, ethnicity, national origin, or disability status — as predictive variables or proxies in credit decisioning. Model fairness assessments are conducted at initial deployment and on a periodic basis thereafter. Identified disparate impact findings are escalated to the Chief Risk Officer and subject to immediate remediation.

Policy Note: No model, algorithm, or automated system deployed by the Bank is permitted to make a final credit commitment on behalf of the institution. Any system configuration or vendor contract that purports to enable fully automated credit commitment is in breach of this Framework and requires immediate escalation to the Chief Risk Officer.

1.10 Enterprise Risk Philosophy

The Bank operates a comprehensive Enterprise Risk Management (ERM) framework that identifies, measures, monitors, and mitigates all material risk categories across the institution. The ERM framework is structured around the following primary risk domains:

- **Credit Risk** — The risk of financial loss arising from a borrower's failure to meet contractual repayment obligations.
- **Market Risk** — The risk of losses in on- and off-balance-sheet positions arising from movements in market prices, including interest rates and foreign exchange rates.
- **Operational Risk** — The risk of loss resulting from inadequate or failed internal processes, people, systems, or from external events.

- Liquidity Risk — The risk that the Bank is unable to meet its financial obligations as they fall due without incurring unacceptable costs.
- Model Risk — The risk arising from errors or limitations in AI/ML models used to inform credit or risk decisions, including model misuse, data quality failures, and scope drift.
- Reputational Risk — The risk of damage to the Bank's public standing as a result of adverse events, poor conduct, or stakeholder perception of institutional failure.
- Compliance Risk — The risk of legal or regulatory sanction, financial penalty, or reputational damage arising from failure to comply with applicable laws and regulations.

The Bank's Risk Appetite Statement, approved annually by the Board of Directors, defines quantitative and qualitative thresholds for each risk category. Business activities that would cause risk exposure to breach defined appetite limits require Board or Executive Committee authorisation prior to initiation.

1.11 Human-in-the-Loop Decision Framework

The Human-in-the-Loop (HITL) Decision Framework is a foundational governance principle of Stratum Capital Bank. It mandates that for every credit decision, the following conditions must be satisfied before a commitment is made:

- An authorised human officer has reviewed all application documentation, financial data, and supporting materials.
- The officer has reviewed the AI-generated risk tier classification and Probability of Default estimate.
- The officer has reviewed the Explainable AI output identifying key predictive factors.
- The officer has exercised independent professional judgment in forming a credit recommendation or decision.
- The officer has documented the basis for their decision in the Credit Application file, including any divergence from the AI recommendation and the reasoning for such divergence.

The HITL framework operates across all three risk tiers. Low-risk AI recommendations are subject to Credit Officer review. Medium-risk applications require Senior Credit Analyst involvement. High-risk recommendations require Credit Manager review prior to final disposition. In no case does the AI risk tier alone constitute a final credit decision.

Policy Note: *Override of an AI recommendation — in either direction — is a legitimate exercise of professional judgment and is not subject to adverse treatment in performance evaluation. Officers are encouraged to document overrides with sufficient reasoning to support institutional learning and model improvement activities.*

1.12 Risk Tier Classification and Operational Decision Matrix

The following matrix defines the three risk tiers used within the Bank's AI Decision Support System, the corresponding Probability of Default ranges, and the operational disposition pathway associated with each tier:

Risk Tier	PD Range	Classification	Operational Disposition
Tier 1 — Low	0% – 35%	Low Risk	AI recommends approval; Credit Officer reviews
Tier 2 — Medium	35% – 50%	Medium Risk	Mandatory escalation to Senior Credit Analyst
Tier 3 — High	> 50%	High Risk	AI recommends rejection; Credit Manager review

It is critical to note that the operational dispositions identified above represent structured process pathways, not automatic decisions. The AI recommendation associated with each tier is advisory. The final credit determination in all tiers is the sole responsibility of the designated human authority identified in the Delegation of Authority Framework.

1.13 Principal Departments of Stratum Capital Bank

Stratum Capital Bank is organised into the following principal departments. Each department operates under a formal mandate documented in its respective Departmental Policy Charter, which forms part of this Framework's subordinate policy library:

Department	Primary Mandate
Retail Banking	Personal lending, deposit accounts, individual customer services
Commercial Banking	SME and medium enterprise financing, trade finance
Corporate Banking	Large corporate credit facilities, structured lending
Credit Risk Management	Credit underwriting, PD assessment, portfolio monitoring
Enterprise Risk Management	Operational, market, liquidity, reputational risk governance
Compliance & Regulatory Affairs	Regulatory adherence, AML/CFT oversight, audit liaison
AI Governance & Analytics	Model lifecycle, explainability, AI ethics, RAG system stewardship
Internal Audit	Independent assurance, policy adherence, control testing
Technology & Digital Infrastructure	Core banking systems, cybersecurity, data management
Human Capital Management	Recruitment, training, performance, workforce planning
Finance & Treasury	Capital management, liquidity planning, financial reporting

1.14 Roles, Authorities, and Responsibilities

The following table summarises the principal lending-related roles within Stratum Capital Bank, their position in the credit authority hierarchy, and their primary responsibilities in the credit assessment process:

Role	Authority Tier	Primary Responsibilities
Loan Officer	Tier 1	Application intake, initial document review, AI recommendation review, customer liaison
Junior Credit Analyst	Tier 2	Financial statement analysis, preliminary risk scoring support, data validation
Senior Credit Analyst	Tier 2+	Medium-risk case adjudication, exception analysis, escalation reporting, PD model oversight
Credit Manager	Tier 3	High-risk case adjudication, credit policy interpretation, cross-department coordination
Chief Credit Officer	Executive	Portfolio strategy, credit policy ownership, board reporting, regulatory interface
Chief Risk Officer	Executive	Enterprise risk governance, AI governance oversight, risk appetite setting

1.14.1 Role of Loan Officers

Loan Officers serve as the primary point of client contact in the credit origination process. They are responsible for collecting and validating application documentation, submitting applications to the AI Decision Support System, reviewing the AI output in conjunction with application materials, and forming an initial recommendation for escalation or closure. Loan Officers operate under Tier 1 credit authority and are not authorised to make final credit commitments independently.

A Loan Officer who receives a Low-risk AI recommendation is required to complete a documented review checklist before forwarding the file to a Credit Manager for commitment authority. Receipt of a Low-risk classification does not constitute approval and does not authorise the Loan Officer to communicate approval to a client.

1.14.2 Role of Credit Analysts

Credit Analysts provide quantitative and qualitative financial analysis supporting the credit assessment process. Junior Credit Analysts assist in data collection, financial statement spreading, and preliminary risk documentation. Senior Credit Analysts are the designated adjudicators for Medium-risk applications escalated from the Loan Officer tier.

Senior Credit Analysts are expected to possess sufficient analytical capability to independently assess borrower financial position, identify risk factors not fully captured by the AI model, and prepare a written credit assessment memorandum documenting their findings and recommendation. Their recommendation is forwarded to the Credit Manager for commitment authority on Medium-risk and High-risk facilities.

1.14.3 Role of Credit Managers

Credit Managers hold Tier 3 credit authority and are responsible for the final adjudication of all credit cases presented to them for commitment. They review the complete credit file, including AI output, Explainable AI summary, analyst memorandum, and all supporting documentation, before exercising commitment authority within their delegated limits.

Credit Managers are also responsible for approving exceptions to standard credit policy where such exceptions fall within their Delegation of Authority and are supported by documented justification. All exceptions are logged in the Bank's Exception Register and reported to the Chief Credit Officer on a monthly basis.

1.15 AI Decision Support Architecture — Conceptual Overview

The AI Decision Support System deployed by Stratum Capital Bank comprises four integrated functional components. This section provides a conceptual description for governance and communication purposes. Technical architecture specifications are maintained separately in the AI Governance and Analytics Department's Model Inventory documentation.

1.15.1 Probability of Default Engine

The core analytical component is a supervised Machine Learning model trained on historical credit performance data to estimate the Probability of Default (PD) for each loan application. The model ingests structured application data, produces a PD estimate expressed as a percentage, and assigns the application to the appropriate risk tier (Low, Medium, or High) based on defined thresholds. Model performance metrics — including discriminatory power, calibration accuracy, and stability indices — are reviewed quarterly.

1.15.2 Explainability Module

The Explainability Module applies Explainable AI techniques to translate the model's PD estimate into a human-readable summary of the factors most influential in producing that estimate. For each application, the module generates a ranked list of the top contributing variables, displayed to the reviewing officer alongside their directional influence (risk-increasing or risk-mitigating). This output supports the officer's professional assessment and satisfies the Bank's transparency requirements.

1.15.3 Policy Retrieval Engine (RAG)

The Policy Retrieval Engine implements a Retrieval-Augmented Generation (RAG) architecture. When a credit officer submits a query or presents an application scenario, the RAG engine retrieves the most relevant sections of the Bank's internal policy library — including this Framework, product guidelines, and exception policies — and presents them as contextual reference material alongside the AI prediction. This ensures that credit decisions are made with immediate access to current, authoritative policy guidance rather than relying solely on officer recall.

1.15.4 Decision Audit and Logging System

Every interaction with the AI Decision Support System is logged in the Decision Audit Register, capturing: application reference, timestamp, AI risk tier assigned, PD estimate, officer identifier, decision outcome, any override notation, and override rationale. This register provides the primary evidentiary record for model performance monitoring, regulatory examination, internal audit, and dispute resolution.

1.16 Corporate Culture

The corporate culture of Stratum Capital Bank is founded on the principle that professional integrity, collaborative discipline, and continuous learning are not secondary considerations — they are competitive advantages and governance imperatives. The Bank invests systematically in staff development, with particular emphasis on credit analysis skills, AI literacy, regulatory understanding, and ethical reasoning.

The Bank operates a speak-up culture in which staff at all levels are encouraged and protected in raising concerns about credit quality, policy compliance, model behaviour, or any institutional practice they believe to be contrary to the Bank's governance standards. Retaliation against staff who raise good-faith concerns is treated as a disciplinary matter.

Performance evaluation frameworks recognise and reward quality of credit judgment, adherence to governance standards, and meaningful contribution to institutional learning — not solely origination volume or revenue generation metrics. The Bank explicitly does not structure incentive arrangements in a manner that creates material conflicts of interest with responsible lending obligations.

1.17 Ethical Banking Principles

Stratum Capital Bank's ethical banking principles represent the non-negotiable floor below which no business practice, commercial objective, or technology deployment may descend. These principles are:

- No credit decision shall be made on the basis of characteristics that are irrelevant to creditworthiness, including but not limited to gender, ethnicity, religion, nationality, political affiliation, or disability status.
- No client shall be provided with credit that the Bank's officers have reasonable grounds to believe the client cannot sustain without foreseeable financial distress.
- No AI model output shall be presented to a client as a final institutional determination without prior human review and authorisation.
- No employee shall allow commercial pressure, origination targets, or managerial instruction to override their professional obligation to apply sound credit judgment.
- No confidential client financial information shall be used for any purpose other than the assessment and management of the client's credit relationship with the Bank.
- All material model changes, including recalibrations, threshold adjustments, and new variable inclusions, shall be documented, validated, and approved through the Model Governance process before implementation.

Policy Note: Breach of any of the Ethical Banking Principles above constitutes a serious disciplinary matter and may result in termination of employment, referral to relevant professional bodies, and, where applicable, regulatory notification.

1.18 Enterprise Terminology Introduced in Chapter 1

The following terms are defined for consistent use across all subsequent chapters and policy modules of the Enterprise Governance & Risk Framework:

Term	Definition
Probability of Default (PD)	A model-derived estimate of the likelihood that a borrower will fail to meet contractual repayment obligations within a specified time horizon.
Decision Support System (DSS)	A technology-assisted analytical tool that provides recommendations or insights to human decision-makers without replacing human judgment.
Retrieval-Augmented Generation (RAG)	An AI architecture that retrieves relevant internal policy or data documents and incorporates them into a generative model's contextual reasoning.
Explainable AI (XAI)	A category of AI techniques and methods that produce interpretable, auditable explanations for model outputs and predictions.
Human-in-the-Loop (HITL)	A governance principle mandating that a qualified human actor reviews, validates, and retains final decision authority over any AI-generated recommendation.
Credit Facility	A formal lending arrangement establishing the maximum credit exposure the bank is prepared to extend to a borrower across one or more product types.
Risk Appetite	The aggregate level and types of risk that the institution is willing to accept in pursuit of its business objectives, as defined and approved by the Board.
Enterprise Risk Framework (ERF)	The overarching institutional framework comprising policies, procedures, governance structures, and risk limits governing all material risk categories.
Tier Classification	A risk-graded category assigned to a borrower or credit application based on the PD output, mapping to a defined operational disposition pathway.
Manual Review Escalation	The mandatory referral of a credit application to a Senior Credit Analyst or Credit Manager when the AI risk tier triggers requires human adjudication.
Model Governance	The set of policies, controls, and procedures that govern the development, validation, deployment, monitoring, and retirement of AI/ML models used in bank operations.
Responsible Lending	The institutional principle that lending decisions must account for the customer's capacity to repay without creating undue financial hardship.

1.19 Chapter Summary

Chapter 1 of the Stratum Capital Bank Enterprise Governance & Risk Framework has established the foundational institutional context within which all subsequent policy, procedure, and operational guidance must be interpreted and applied.

The chapter has documented:

- The Bank's institutional identity, strategic purpose, and client service mandate.
- The vision, mission, and core values that govern institutional conduct.
- The organisational architecture spanning board governance, executive management, and operational business units.
- The banking and lending philosophy, emphasising relationship quality, credit discipline, and long-term portfolio integrity over origination volume.
- The Responsible Lending Philosophy, establishing affordability, suitability, transparency, and vulnerability protection as non-negotiable underwriting standards.
- The AI Governance Philosophy, affirming the Bank's commitment to AI as a decision support capability, never as a decision-making authority.
- The Enterprise Risk Philosophy and the primary risk domains subject to ongoing institutional management.
- The Human-in-the-Loop Decision Framework, mandating human review and authorisation at every credit decision point regardless of AI risk tier classification.
- The Risk Tier Classification and Operational Decision Matrix, defining Tier 1 (Low), Tier 2 (Medium), and Tier 3 (High) risk categories and their associated process pathways.
- The principal departments, and the roles of Loan Officers, Credit Analysts, and Credit Managers in the credit assessment process.
- A conceptual overview of the AI Decision Support System architecture comprising the PD Engine, Explainability Module, RAG Policy Retrieval Engine, and Decision Audit System.
- The corporate culture, ethical banking principles, and enterprise terminology introduced in this chapter.

All staff are required to read, acknowledge, and apply the principles established in this chapter in the exercise of their institutional responsibilities. Questions regarding interpretation of any provision should be directed to the Office of the Chief Risk Officer.

— End of Chapter 1 —